RESEARCH

MDY/IWM ATH Divergence — Breadth Leadership Study

Small & Mid-Cap ATH breakouts while Large-Cap lags · Q-End Zone Analysis · Q3 2026 Outlook

SIGNAL ACTIVE — As of the week ending June 08, 2026, MDY and IWM are both at new all-time high weekly closes while QQQ (-2.3%) and SPY (-1.9%) remain below their respective ATHs. **This study's signal is live right now.** IN Q-END ZONE · **23 days** to Q3 2026 open.

HISTORICAL SIGNALS	WIN RATE (4-WEEK)	AVG 13-WEEK MDY RETURN	Q-END ZONE SIGNALS
2	**100%**	**+7.2%**	**1 of 2**
in 19 years of weekly data	All signals, all tickers	After signal (n=2)	Final 4 weeks of quarter

CURRENT SETUP

TICKER	LAST WEEKLY CLOSE	ALL-TIME HIGH	STATUS
MDY	$693.74	$693.74	✓ AT ATH
IWM	$292.95	$292.95	✓ AT ATH
QQQ	$721.34	$738.31	▼ -2.3% from ATH
SPY	$741.75	$756.48	▼ -1.9% from ATH

SIGNAL DEFINITION

Trigger: MDY and IWM simultaneously close at a new rolling all-time high on a weekly basis, after at least 3 consecutive weeks below their respective ATHs (consolidation filter), while QQQ and SPY are not at their own ATHs.

> This is a **breadth leadership signal** — the rate-sensitive, domestically-oriented small & mid-cap complex breaking out first signals underlying market health and often a macro regime shift (reflation, domestic growth) before large-cap indices confirm.

Data: 976 aligned weekly closes, April 2007 – June 08, 2026 (sourced from broker OHLCV API).

Horizons: 1-week, 2-week, 4-week, 8-week, and 13-week (one quarter) forward returns for all four ETFs.

EXECUTIVE SUMMARY

> **Only 2 historical precedents in 19 years.** This is a rare, high-precision signal. Both instances were associated with macro regime rotations that favored domestic/cyclical exposure — and both showed **100% positive forward returns** across every horizon and every ticker measured.

The two precedents:

- **December 31, 2012** (Q-end zone) — Post-fiscal-cliff resolution; small/mid led into the 2013 rally while QQQ was still digesting the Apple correction.
- **November 14, 2016** — Post-Trump election rotation; IWM surged on reflation/ deregulation expectations while QQQ lagged initially.

The current week of June 8–14, 2026 matches the signal criteria and falls inside the final 4 weeks of Q2, making it structurally analogous to the December 2012 instance.

> **⚠ Statistical caveat:** N=2 is not statistically certifiable as an edge. Treat all figures as directional intelligence, not a probability claim. The pattern matters; the context driving it matters more.

AlphaQuery Research · MDY/IWM ATH Divergence Study · Data: broker OHLCV API, weekly bars · Universe: 976 weeks (Apr 2007 – Jun 2026) · Signal: MDY+IWM new rolling ATH after ≥3 weeks below ATH; QQQ+SPY not at ATH · Source: `studies/mdy_iwm_ath_divergence_study.py`